HCL Technologies Ltd (HCLTECH)

Sector: Information Technology | Financial Intelligence tearsheet | Latest FY24 (2024-03)

1. Core Performance Ratios (Latest Year)

Metric	Value	Benchmark / Status
Return on Equity (ROE)	23.01%	ROE > 15% is healthy
Return on Capital (ROCE)	25.32%	Relative sector-adjusted benchmark
Net Profit Margin (NPM)	14.29%	Core net earnings efficiency
Debt to Equity (D/E)	0.08	Financial leverage ratio
Interest Coverage Ratio (ICR)	46.46	Debt service capacity cushion
Asset Turnover	1.11	Asset utilization intensity

2. Time-Series Income Statement (P&L; Trend)

Year	Revenue / Sales (Cr)	Net Profit (Cr)	EPS (■)
2024-03	■109,913.0	■15,710.0	■58.00
2023-03	■101,456.0	■14,845.0	■55.00
2022-03	■85,651.0	■13,523.0	■50.00
2021-03	■75,379.0	■11,169.0	■41.00
2020-03	■70,676.0	■11,057.0	■41.00
2019-03	■60,427.0	■10,120.0	■37.00

3. Balance Sheet & Asset Structure

Year	Fixed Assets (Cr)	Current Assets (Cr)	Borrowings (Cr)
2024-09	■34,480.0	■57,469.0	■5,791.0
2024-03	■35,063.0	■56,698.0	■5,758.0
2023-03	■34,619.0	■53,096.0	■4,794.0
2022-03	■35,077.0	■47,364.0	■6,343.0
2021-03	■37,145.0	■41,728.0	■6,864.0
2020-03	■37,490.0	■37,863.0	■7,986.0

4. Cash Flow & Capital Allocation Pattern

Year	CFO (Ops)	CFI (Invest)	CFF (Finance)
2024-03	■22,448.0	■-6,608.0	■-15,464.0
2023-03	■18,009.0	■-3,573.0	■-15,881.0
2022-03	■16,900.0	■1,597.0	■-14,508.0
2021-03	■19,618.0	■-5,665.0	■-11,192.0
2020-03	■13,359.0	■-12,332.0	■-3,168.0
2019-03	■8,971.0	■-3,256.0	■-1,471.0

5. Qualitative Analysis (Strengths & Risks)

■ **Strengths (Pros)**	■ **Risk Factors (Cons)**
• Excellent return on equity (ROE) of 23.0% indicates high capital efficiency. • Strong return on capital employed (ROCE) of 25.3% shows highly profitable operations. • Conservative leverage with a healthy Debt-to-Equity of 0.08. • Strong cash generation with a latest Free Cash Flow of ■15,840.0 Cr. • High-quality earnings backed by a strong cash-flow-to-profit conversion (CFO/PAT ratio of 1.43). • Excellent debt servicing capacity with an Interest Coverage Ratio of 46.5x.	• Unsustainably high dividend payout ratio of 90.0%, leaving little retained earnings for growth.